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# Islamic University of Technology

Department of Computer Science and Engineering (CSE)

B.Sc. in Software Engineering

**HUM 4747: Legal Issues and Cyber Law**

Winter, 2024-2025

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## Assignment 2

IP Infringement

### Assigned Topics

Alifax v. Alcor Scientific (Blood Analyzer Algorithms, U.S., 2024)  
AI Training and Fair Use Early Rulings (Meta and Anthropic, 2024-2025)

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Date: March 29, 2026

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### Abstract

Topic Selection:  $(12\%30) + 1 = 13$  and  $(12\%30) + 11 = 23$ . So, **Alifax v. Alcor Scientific (Blood Analyzer Algorithms, U.S., 2024)** and **AI Training and Fair Use Early Rulings (Meta and Anthropic, 2024–2025)**

## 1 IP Infringement Cases

### 1.1 Case 1: Alifax v. Alcor Scientific (Blood Analyzer Algorithms, U.S., 2024)

#### 1.1.1 Background of the Case

The case involves an intellectual property dispute that has been ongoing for a decade between Alifax Holding SpA, an Italian company that produces medical diagnostic instruments, and Alcor Scientific LLC, a medical device company based out of Rhode Island. The dispute involves highly proprietary algorithmic technology that is part of automated blood analysis instruments.

Alifax, through its subsidiary company, Sire Analytical Systems SRL, produces automated medical diagnostic instruments that measure the Erythrocyte Sedimentation Rate of human blood. ESR is a widely used medical diagnostic test that detects the presence of inflammation within the human body. This diagnostic test helps medical practitioners diagnose various medical conditions such as rheumatoid arthritis, lupus, and other related conditions. The ESR test results are available within twenty seconds of conducting the test. This achievement by Alifax to deliver results within such a short period of time made it a significant achievement that provided a competitive edge to the company.

Alcor Scientific, a company based out of Smithfield, Rhode Island, is a medical device company that operates within the medical diagnostics industry. Alcor was founded by Carlo Ruggeri. Alcor did not have a medical device that competed with Alifax's ESR device until after 2012. The link between Alifax and Alcor involves an individual by the name of Francesco Frappa, who worked at Sire Analytical Systems for approximately eleven years. He worked his way up from a mechanical fitter to a supervisory role at Alifax. He worked on hardware and software related to ESR analysis.

#### 1.1.2 Triggering Incident

The conflict was initiated by a chain of events that started in August 2011 with Francesco Frappa giving his notice to resign from Sire Analytical Systems. Frappa had returned from a week-long trip to Rhode Island as a guest of Alcor's founder, Carlo Ruggeri, who had made contact with Frappa through an industry contact to determine whether Frappa would join Alcor. At the end of Frappa's two-month notice period, Ruggeri informed Alcor staff that Frappa would take immediate responsibility for its most advanced diagnostic product development projects as Vice President of Research and Development.

Frappa moved to Rhode Island in approximately May 2012 and started working on Alcor's iSED ESR analyzer project. About a year after Frappa started working at Alcor, they started promoting and producing the iSED product. This product had the capability to provide results for blood ESR in only twenty seconds via a process called syllectrometry that measured changes in optical density as light passed through a blood sample. This rapid development from the

recruitment of a senior Alifax engineer to producing a directly competing product sparked serious suspicion.

The key discovery was made when Alifax reviewed early source code for the iSED product. This source code was labeled "Version 104A," and its conversion algorithm was found to contain identical and very unusual numerical constants (2.2, 1000, -3, and  $1.9$ ) that Alifax had used in its ESR analyzer source code to convert its raw photometric data into ESR values. These constants had not been standard values but had been arrived at via proprietary research and testing done by Alifax engineers.

### 1.1.3 Legal or Regulatory Issues

The case presented a rich tapestry of legal questions spanning trade secret law, patent law, copyright law, employment contract obligations, and international choice-of-law principles. The primary legal framework was as follows:

#### 1. Rhode Island Uniform Trade Secrets Act (RIUTSA):

Alifax's principal claim was misappropriation of trade secrets under the Rhode Island Uniform Trade Secrets Act (R.I. Gen. Laws § 6-41-1 et seq.), the state-level adaptation of the widely adopted Uniform Trade Secrets Act (UTSA). Under RIUTSA, a trade secret is defined as information that derives independent economic value, actual or potential, from not being generally known or readily ascertainable by others, and that is the subject of reasonable efforts to maintain its secrecy. Misappropriation under RIUTSA includes acquisition of a trade secret by improper means, even without actual use or disclosure of the secret.

Alifax alleged two specific trade secrets: (1) a conversion algorithm trade secret, comprising portions of computer source code that converted raw photometric measurements into ESR values and incorporating four specific, unusual numerical conversion constants (2.2, 1000, -3, and  $1.9$ ); and (2) a signal acquisition trade secret, defined as the process by which Alifax's devices gathered ESR-related raw data through signal acquisition from blood samples.

#### 2. Patent and Copyright Claims:

Alifax also initially sued Alcor for infringement of two U.S. patents and for copyright infringement relating to its software. Alcor counterclaimed for declaratory judgment of patent invalidity. However, by the time of jury deliberations, Alifax had dropped its patent infringement claims (five days into the liability phase of trial), and the copyright and patent claims were ultimately excluded or dismissed. The case thus narrowed entirely to trade secret misappropriation by the time the jury deliberated.

#### 3. Italian Employment Law and Confidentiality Obligations:

A significant preliminary legal question was which jurisdiction's law governed the alleged duty of confidentiality owed by Frappa to his former Italian employer. The court ruled that Italian law applied to the breach of confidential relationship claim, since Frappa's employment relationship with Sire Analytical Systems was negotiated, performed, and terminated entirely in Italy. Neither Frappa nor his work for Sire had any connection to Rhode Island prior to his recruitment by Alcor. The jury ultimately found that Frappa personally breached his confidential relationship with Alifax under Italian law, in addition to the trade secret claims under RIUTSA.

#### 4. **Trade Secret Specificity Requirements:**

A key legal battleground throughout the appellate proceedings was the level of specificity required to identify and prove the existence of a trade secret. Under RIUTSA and analogous UTSA-based statutes, a plaintiff must describe its alleged trade secrets in sufficient detail to establish each statutory element, including that the information is not generally known to the trade, derives independent economic value from its secrecy, and is the subject of reasonable protective measures. This requirement proved fatal to Alifax's signal acquisition trade secret claim, but ultimately vindicated its more precisely defined conversion algorithm claim.

### 1.1.4 **Stakeholders and Their Positions**

#### 1. **Alifax Holding SpA (Plaintiff):**

Alifax maintained that Frappa, armed with eleven years of intimate knowledge of Alifax's proprietary ESR technology, was deliberately recruited and exploited by Alcor to shortcut its own development cycle. The presence of four identical, non-standard numerical constants in Alcor's iSED source code was, in Alifax's view, incontrovertible evidence of misappropriation. Alifax sought to protect not merely the financial investment it had made in developing these algorithms, but also the broader principle that calibration logic, embedded constants, and conversion formulas embedded in medical device software constitute legally protectable intellectual property. CEO Dr. Paolo Galiano stated publicly that trade secrets are the lifeblood of Alifax's product development and that their protection is critical to innovation efforts.

#### 2. **Alcor Scientific LLC and Francesco Frappa (Defendants):**

Alcor has vigorously denied any wrongdoing, with President Karla Ruggeri stating in a press release, "Alifax employed litigation as a means to accomplish in the courtroom what they could not accomplish in the marketplace: preventing a superior domestic competitor from offering a high-quality blood testing instrument at a competitive price." Alcor claimed that the iSED had been independently developed, with any similarity being either accidental or related to industry-standard practice. Similarly, Frappa had denied any claim that he had brought or used Alifax's confidential information in his work at Alcor.

#### 3. **The Jury:**

The jury, after a three-week trial in spring 2019, sided with Alifax on the conversion algorithm trade secret and on the breach of confidential relationship claim against Frappa individually, awarding \$6.5 million in unjust enrichment damages. The jury's verdict reflected a finding of willful and malicious misappropriation, a finding that carries significant legal weight under trade secret law.

#### 4. **The District Court (Chief Judge William E. Smith, D. Rhode Island):**

The district court took the unusual step of granting Alcor a new trial on both liability and damages after the jury verdict, finding that the jury's verdict on the conversion algorithm was against the clear weight of the evidence and that Alifax's expert witness had overstepped his role as a summary fact witness by offering expert opinion on damages. The court also excluded the signal acquisition trade secret and barred Alifax from seeking compensatory damages in any new trial.

### 5. The U.S. Court of Appeals for the Federal Circuit (CAFC):

The CAFC served as the final arbiter on the key appellate questions. Authored by Circuit Judge Cunningham, the CAFC's June 11, 2024 opinion navigated carefully between the competing positions: it reinstated the jury's liability verdict on the conversion algorithm, rejected the district court's overly narrow interpretation of what constitutes a functional trade secret, but upheld the exclusion of the signal acquisition trade secret and affirmed the evidentiary rulings on the expert witness, while remanding for a new damages trial.

### 1.1.5 Impact and Consequences

#### 1. Financial Impact:

The initial jury verdict of \$6.5 million in unjust enrichment damages was a substantial financial burden for Alcor, a relatively minor company based out of Rhode Island. However, the district court's decision to order a new trial and deny Alifax any compensatory damages effectively reduced the jury verdict to zero. The CAFC decision of 2024 restored the jury verdict, yet it will be up to a new jury to determine damages at a new trial. With prejudgment interest potentially factored into the damages over the course of the decade-long litigation, it is possible that the damages could exceed the initial jury verdict.

#### 2. Operational Impact:

In the case of Alcor, the proceedings created a long shadow over the entire iSED product range, which was a key commercial product. The uncertain effects of the pending findings on liability and the potential reputation impact of a verdict on trade secret misappropriation affected Alcor's marketing efforts on the iSED product range; indeed, Alifax informed their customers and potential customers that Alcor had infringed their patents. This was said to be damaging to Alcor's commercial interests and false. In the case of Alifax, the proceedings were a costly but successful defense of their intellectual property.

#### 3. Reputational Impact:

Moreover, the fact that the jury had ruled on the issue of "*willful and malicious misappropriation*" gave the case a negative impact on Alcor's reputation, implying not just misuse, but exploitation of the stolen technology. As to the impact on Frappa individually, the ruling on his violation of his duty of confidentiality in Italy had important professional repercussions. As to Alifax, the company had its claim to technological leadership vindicated by the jury's ruling, which had stated that "*until the time when Frappa left and joined Alcor, there had not been in the world any company able to produce an instrument which could compete with the ESR analyzers produced by Alifax.*"

### 1.1.6 Court or Regulatory Decisions

#### 1. Jury Verdict (April 30, 2019)

After a three-week liability trial, the jury found that Alcor and Frappa willfully and maliciously misappropriated two of Alifax's trade secrets: (1) the conversion algorithm trade secret (computer source code with four specific conversion constants); and (2) a capillary photometer sensor (CPS) trade secret (though only through February 6, 2014). Frappa was also found individually liable for breach of his Italian confidentiality obligations. The jury awarded \$6.5 million in unjust enrichment damages.

#### 2. District Court Post-Trial Orders (2019)

Following this, the district court granted Alcor's motion for a new trial regarding the lia-

bility and damage aspects of the conversion algorithm claim against Alifax. The district court did this on the basis that the jury's verdict was not only against the clear weight of the evidence, given that there was not sufficient evidence to suggest that Alifax's algorithm was capable of producing accurate results outside of Alifax's proprietary devices, suggesting that Alcor was not able to derive any utility from the algorithm. The expert witness of Alifax was also excluded from giving any opinions regarding the damage aspects, and the trade secret of the signal acquisition was struck, as was the compensatory damage claim by Alifax.

### 3. Federal Circuit Opinion (June 11, 2024)

The CAFC issued a nuanced opinion that partially reversed and partially affirmed the district court. The court's key holdings were:

- Reinstated jury liability verdict on conversion algorithm: The CAFC held that the district court had applied an incorrect legal standard by requiring the trade secret to be independently operable outside Alifax's own systems. A trade secret does not lose its protectability simply because it cannot function accurately in a different technological context. The court found that the jury's verdict was supported by the evidence and should not have been disturbed.
- Affirmed exclusion of signal acquisition trade secret: The CAFC upheld the district court's determination that Alifax had failed to describe this trade secret with sufficient specificity. Alifax's description, characterizing the secret as 'how to acquire photometric signals from a blood sample', was deemed too high-level and conclusory to establish the existence, scope, and independent economic value of a discrete trade secret under RIUTSA.
- Affirmed evidentiary ruling on expert witness: The CAFC agreed that Alifax's expert, Mr. Bokhart, had exceeded the scope of his designation as a summary fact witness by incorporating previously excluded expert opinion into his testimony, warranting its exclusion.
- Reversed preclusion of compensatory damages: Despite affirming the damages witness exclusion, the CAFC found that entirely precluding Alifax from presenting any evidence of compensatory damages was an abuse of discretion. The court remanded for a new trial on damages, allowing Alifax to present a fresh damages case.

The net result is that the jury's liability finding against Alcor for misappropriating the conversion algorithm trade secret stands, but the case returns to the district court for a new trial on damages only.

#### 1.1.7 Broader Implications

##### 1. Protection of Embedded Algorithmic Trade Secrets

One of the most significant contributions of the *Alifax v. Alcor* litigation is its clarification that embedded numerical constants, calibration formulas, and conversion algorithms within medical device software can constitute protectable trade secrets, even when they appear as bare lines of source code. The CAFC's reinstatement of the jury verdict sends a clear signal to the medical device industry that proprietary computational logic does not need to be independently functional outside the owner's system to be legally protected.



The secrecy of the formula itself, and the economic value derived from that secrecy, are the operative factors.

## 2. **The 'Sufficient Specificity' Standard for Trade Secret Claims**

The CAFC's treatment of the signal acquisition trade secret provides equally important guidance, this time, as a cautionary lesson for plaintiffs. Trade secret claimants must define their secrets with granular specificity at the outset of litigation. Broad, functional descriptions (e.g., 'how we acquire signals from blood') do not suffice. Plaintiffs must articulate exactly what information is secret, distinguish it from what is generally known in the trade, and demonstrate its independent economic value through concrete specifics. This holding is consistent with the broader trend in UTSA-based jurisprudence toward requiring plaintiffs to do more than identify a technological category and invite courts to search for protectable elements within it.

## 3. **Employee Mobility and the Inevitable Disclosure Doctrine**

The case also raises important questions about the intersection of employee mobility and trade secret law. Frappa's eleven-year tenure at Alifax gave him encyclopedic knowledge of its technology. His recruitment by a direct competitor, followed immediately by the development of a nearly identical competing product, illustrates the acute vulnerability that companies face when senior engineers with access to core IP leave for rivals. While the CAFC did not formally apply the 'inevitable disclosure' doctrine, which some courts use to restrict an employee's ability to work for a competitor when use of the former employer's secrets is unavoidable, the factual pattern here closely mirrors the circumstances that courts applying that doctrine would find problematic.

## 4. **International IP Protection in U.S. Courts**

The case is also significant as a demonstration that foreign companies can effectively invoke U.S. trade secret law to protect their intellectual property against U.S.-based competitors. Alifax, an Italian company, successfully navigated U.S. federal court and the Federal Circuit, and a jury of Rhode Island citizens vindicated an Italian firm's IP rights. The court's willingness to apply Italian employment law to the confidentiality obligation portion of the claim further shows that U.S. courts will engage in meaningful choice-of-law analysis rather than reflexively applying domestic law to all aspects of transnational IP disputes.

## 5. **Lessons for Businesses and Policymakers**

For businesses, this case reinforces several critical risk management practices:

- Document and protect algorithmic IP meticulously: Identify trade secrets with granular specificity internally, maintain access logs, use NDAs, and ensure departing employees are reminded of their continuing confidentiality obligations.
- Conduct thorough IP due diligence when hiring: When recruiting engineers from competitors, particularly from rivals with advanced proprietary technology, companies should implement robust screening protocols, firewalls, and legal advice to minimize misappropriation risk.
- Litigation over embedded code is viable but costly: This case took a decade to work through the court system. Early investment in trade secret identification and protective measures is far more cost-effective than post hoc litigation.



For policymakers, the case underscores the need for clear guidance on the specificity standards for trade secret identification: persistent area of uncertainty in UTSA-based litigation that burdens both plaintiffs and courts.

### 1.1.8 Personal/Analytical Reflection

The *Alifax v. Alcor Scientific* (2024) case, to me, highlights the limits of knowledge transfer when it crosses from legitimate employment mobility into potential misappropriation. The most compelling evidence is the presence of four unusual constants, 2.2, 1000, -3, and  $\sqrt{1.9}$ , appearing identically in Alcor's code shortly after hiring a key Alifax engineer. While independent development can explain general similarity, arriving at the same non standard constants in the same algorithm makes an innocent explanation highly implausible. In that sense, the jury's finding of willful and malicious misappropriation appears justified.

Ethically, the situation reflects a deeper concern. Recruiting a senior engineer and leveraging their accumulated proprietary knowledge to bypass R and D undermines innovation driven competition. Trade secret law exists to protect this kind of investment, and without it, firms would have less incentive to innovate. The jury's verdict, reinforced by the Federal Circuit, sends an important signal that such conduct has consequences.

I also find the district court's post trial decision, granting a new trial because the algorithm supposedly could not function outside Alifax's devices, problematic. If accepted, this reasoning would weaken protection for embedded, system specific trade secrets, which are often the most valuable in industries like medical devices. The Federal Circuit's correction was therefore necessary to avoid setting a precedent that exposes highly integrated intellectual property to greater risk.

On the other hand, the rejection of the signal acquisition trade secret claim seems appropriate. Alifax's inability to clearly define this alleged secret, even after extensive litigation, suggests it was either too vague or overly broad. The court's insistence on specificity is important to prevent trade secret law from becoming overreaching while still protecting well defined innovations.

Overall, this case also shows how prolonged and costly trade secret litigation can become. A decade of disputes, multiple trials, and ongoing damages issues represent a significant burden for both parties. For an industry like medical devices, where proprietary logic and general engineering knowledge often overlap, clearer legal standards and faster resolution mechanisms would be highly beneficial.

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## 1.2 Case 2: AI Training and Fair Use Early Rulings (Meta and Anthropic, 2024–2025)

### 1.2.1 Background of the Case

The emergence of powerful large language models (LLMs) from companies such as Anthropic, Meta, and OpenAI has triggered a wave of copyright litigation unprecedented in the history of intellectual property law. At the heart of the controversy is a deceptively simple question: when an AI developer copies millions of copyrighted books, articles, or legal texts to train a machine learning model, does that copying constitute infringement, or is it protected by the fair use doctrine under 17 U.S.C. § 107 of the U.S. Copyright Act? The three cases analysed in this report represent the opening salvoes of what will likely be a decade-long judicial reckoning with this question.

**Bartz v. Anthropic PBC** was filed in August 2024 by three American authors: Andrea Bartz (We Were Never Here), Charles Graeber (The Good Nurse), and Kirk Wallace Johnson (The Feather Thief) against Anthropic, the San Francisco-based AI safety company and developer of the Claude family of large language models. The plaintiffs alleged that Anthropic had assembled a vast corpus of copyrighted books for training including **over seven million** digital copies downloaded from pirate websites without licensing or compensating the rights holders.

**Kadrey v. Meta Platforms, Inc.** was filed in 2023 by thirteen prominent authors including comedian Sarah Silverman, Pulitzer Prize winner Junot Díaz, National Book Award winner Jacqueline Woodson, and author Ta-Nehisi Coates against Meta Platforms, Inc., the developer of the open-source Llama family of large language models. The authors alleged that Meta used unauthorized, pirated copies of their works, obtained from "shadow libraries" such as LibGen, to train the Llama models.

**Thomson Reuters Enterprise Centre GmbH v. ROSS Intelligence Inc.** predates the generative AI era but has emerged as a pivotal data point in the broader AI copyright debate. Filed in December 2020, it pits Thomson Reuters, owner of the Westlaw legal research platform, against ROSS Intelligence, a now-defunct AI startup that sought to build a competing AI-powered legal search engine. To train its search algorithm, ROSS commissioned bulk legal memoranda from a third-party contractor (LegalEase Solutions) that heavily incorporated Westlaw's proprietary headnotes which is a concise editorial summaries of legal points from judicial opinions.

### 1.2.2 Triggering Incident

#### 1. Bartz v. Anthropic

The triggering event in the Anthropic case was the discovery: first alleged in the plaintiffs' complaint filed August 19, 2024 - that Anthropic had assembled a "central library" of millions of digitized books for training purposes through two methods. First, Anthropic legally purchased millions of physical books, stripped their bindings, scanned and digitized the pages, and discarded the paper originals. Second, and more controversially, Anthropic downloaded over seven million pirated digital copies of copyrighted books from shadow libraries including Library Genesis (LibGen) and the Pirate Library Mirror (PiLiMi): peer-to-peer repositories assembled without the consent of authors or publishers.

#### 2. Kadrey v. Meta

The triggering incident in the Meta case was the disclosure, through discovery, that Meta had used torrenting, a peer-to-peer file-sharing protocol, to download copies of

books from shadow libraries, including LibGen, to assemble training data for its Llama models. The thirteen author-plaintiffs alleged this use was "liable for massive copyright infringement" and undermined their ability to license their works in the future.

### 3. **Thomson Reuters v. ROSS Intelligence**

The triggering event was Thomson Reuters's discovery that ROSS had contracted with LegalEase Solutions to generate approximately 25,000 bulk legal memoranda, each posing a legal question and ranking relevant case passages as answers. LegalEase had created these memoranda using Westlaw's copyrighted headnotes and Key Number System as the primary source material. Thomson Reuters had previously refused to license its content to ROSS when directly approached. It was a refusal that significantly undermined ROSS's subsequent fair use defense.

## 1.2.3 Legal or Regulatory Issues

### 1. **The Four-Factor Fair Use Test (17 U.S.C. § 107)**

All three cases revolve around the same statutory framework: the four-factor fair use test codified in Section 107 of the U.S. Copyright Act. Fair use is an affirmative defense to copyright infringement, allowing certain unauthorized uses of copyrighted works where the societal benefit outweighs the harm to the rights holder. Courts must consider:

- (a) **Purpose and character of the use** - Is the use transformative? Does it add new meaning, expression, or message? Is it commercial or nonprofit?
- (b) **Nature of the copyrighted work** - Is the work factual or creative? More creative works receive stronger protection.
- (c) **Amount and substantiality used** - How much of the original was copied? Was the "heart" of the work taken?
- (d) **Effect on the potential market** - Does the use harm the actual or potential market for the original work, including licensing markets? Courts have consistently identified this as the most important factor.

### 2. **The Training/Output Distinction**

A critical legal concept that has emerged from these cases is the distinction between "input" (training data) and "output" (AI-generated content). Courts in Bartz and Kadrey focused exclusively on whether the copying for training purposes was fair use. Neither case involved allegations that Claude or Llama could reproduce the actual text of the plaintiffs' books verbatim in outputs. The courts repeatedly signalled that evidence of infringing outputs would have substantially changed the analysis.

### 3. **The Piracy Sub-Issue: Legality of Source vs. Transformativity of Use**

Another legal issue, on which the two judges from California courts disagreed, is whether the illicit nature of the source from which the training data is obtained, such as pirated sites, impacts the determination of fair use for the training activity. In the Bartz case, Judge Alsup treated the act of piracy and the act of training as distinct, and he granted fair use for the latter but not for the former, for creating a "central library" of pirated works. In the Kadrey case, Judge Chhabria treated the entire process of obtaining the books through torrenting and then training the Llama as one act of transformation.

#### 4. Copyright Originality of AI Training Material (ROSS)

In *Thomson Reuters v. ROSS*, a threshold issue was whether Westlaw's headnotes were sufficiently "original" to qualify for copyright protection, given that they are derived from uncopyrightable judicial opinions (which, as government works, are in the public domain). Judge Bibas ruled that they were: a headnote "can introduce creativity by distilling, synthesising, or explaining part of an opinion," and the editorial selection and arrangement of legal content clears the minimal originality threshold of 17 U.S.C. § 102(a).

#### 5. Emerging Licensing Market Argument

One issue that arose in all three cases was whether AI creators, in using copyrighted materials without permission for training, were appropriating a nascent market for licensing training materials. All three courts recognized this as a pressing and undecided issue. In the *Bartz* and *Kadrey* cases, the courts refused to find evidence of this market in the record, but both courts cautioned future plaintiffs who could prove this point would prevail on the fourth factor and thus win the overall fair use determination.

### 1.2.4 Stakeholders and Their Positions

#### 1. Author-Plaintiffs and the Authors Guild

The author-plaintiffs in both cases articulated a consistent position: that AI developers had enriched themselves by extracting the creative value of human-authored works without compensation or consent, and that the resulting AI systems posed an existential economic threat to creative professions. The Authors Guild challenged the AI industry's characterisation of training as analogous to human reading, arguing that a human reader cannot produce "literally millions of secondary works" in a fraction of the time it took the original author to write.

#### 2. Anthropic (Defendant, Bartz)

Anthropic maintained that its training use was transformative, that LLMs were designed to produce new text, not to reproduce or replace the plaintiffs' books. It argued that authors cannot exclude others from "using their works to learn," analogising its training process to a student reading and absorbing a book. Its position on piracy was more defensive: it contended that any unlawful acquisition of training data was either a minor procedural issue or later remedied, though Judge Alsup pointedly remarked that buying a copy later would not absolve past infringement.

#### 3. Meta (Defendant, Kadrey)

Meta argued that its use of copyrighted books was highly transformative and that the plaintiffs had failed to demonstrate any concrete market harm. Meta's public position, reiterated after the ruling, was that "fair use of copyright material is a vital legal framework for building transformative technology." Meta's use of shadow libraries was treated by the court as part of a single training act rather than separate acts of piracy. It was a framing more favourable to Meta than the Anthropic court's bifurcated analysis.

#### 4. Thomson Reuters / Westlaw (Plaintiff, ROSS)

Thomson Reuters argued that ROSS had deliberately obtained its proprietary editorial content after being refused a license, a sequence that undermined any good-faith fair use claim. Westlaw's headnotes and Key Number System represented decades of editorial investment; their use to build a directly competing legal research product was, in Thomson

Reuters's view, paradigmatic infringement. Post-ruling, Thomson Reuters called the decision a vindication of the principle that AI companies cannot simply appropriate competitors' core products as training material.

#### 5. **ROSS Intelligence (Defendant, ROSS)**

ROSS argued that its use of headnotes in training data was "intermediate copying", a recognised doctrine under which copying during the development process can be fair use when the final output does not reproduce the copied material. ROSS emphasised that its search engine returned only public-domain judicial opinions, not headnotes. It also argued the headnotes lacked sufficient originality for copyright protection. These arguments were rejected at the district court level; the Third Circuit appeal remains pending.

#### 6. **The Judiciary: Three Judicial Approaches**

Three federal judges brought meaningfully different analytical approaches to ostensibly similar fair use questions:

- (a) **Judge William Alsup (Bartz):** Most sympathetic to the transformative use argument; analogised LLM training to human reading; bifurcated the piracy and training questions but was strongly critical of piracy conduct.
- (b) **Judge Vince Chhabria (Kadrey):** Most cautious; emphasised market harm as the "single most important element"; explicitly called Meta's technological-inevitability arguments "ridiculous"; rejected artificial subdivision of the training-from-piracy question.
- (c) **Judge Stephanos Bibas (ROSS):** Most restrictive; found no transformation where the training purpose was to build a directly competing product; placed heavy weight on competitive substitution.

### 1.2.5 Impact and Consequences

#### • **Financial Impact**

However, the most financially devastating effect occurred in the Bartz v. Anthropic case. After issuing its ruling in the summary judgment proceeding in June 2025, Judge Alsup certified the case as a class action in July 2025, defining the class as all copyright holders of books in the LibGen and PiLiMi datasets. With damages ranging from \$750 to \$30,000 for infringement of one work, increasing to \$150,000 for willful infringement, and a class consisting of 482,460 qualifying works, Anthropic faced potential damages of over \$70 billion. However, in light of the potential damages, the case settled for a record-breaking \$1.5 billion in August 2025, or approximately \$3,000 per work, in what is arguably the largest copyright settlement in history.

In the Kadrey case, the financial effect for Meta is minimal, as the ruling in the summary judgment proceeding for fair use terminated the liability phase. However, for ROSS Intelligence, the financial effect is existential, as the company closed its doors in 2021 due to the litigation and is arguably a cautionary tale for businesses built around the theory that AI training on proprietary data is fair use.

#### • **Reputational Impact**

The settlement in Bartz was particularly damaging to Anthropic's public image, given the company's prominent commitment to AI safety and responsible development. The revelation that Anthropic had pirated over seven million books to train Claude and had,



in some cases, bought books it had previously pirated, destroyed the physical copies, and retained the digital scans, exposed a significant gap between the company's stated ethics and its operational practices.

- **Operational Impact on the AI Industry**

The combined effect of these rulings has been to introduce significant legal risk into the data acquisition practices of every AI developer. AI companies are now under pressure to: **(a)** audit their training data provenance; **(b)** negotiate licensing agreements with publishers and data aggregators; and **(c)** implement data destruction protocols for any pirated material in their training sets. Major AI developers including OpenAI, Google, and Meta have been entering into licensing deals with publishers and news organisations which is a shift in practice partly driven by the litigation pressure these cases have created.

## 1.2.6 Court or Regulatory Decisions

### 1. Bartz v. Anthropic: Key Rulings

- **June 23, 2025 - Summary Judgment (Judge Alsup):** Training on lawfully acquired books = Fair Use ("quintessentially transformative"). Creation/retention of central piracy library = NOT fair use. Trial set for piracy claims.
- **July 2025 - Class Certification** Class of all copyright owners of pirated works certified, covering ~ 482,460 qualifying works. Theoretical liability exceeding \$70 billion.
- **August-September 2025 - Settlement:** Parties reach \$1.5 billion class-wide settlement (~\$3,000/work). Preliminary approval granted September 25, 2025. Final approval hearing April 23, 2026. Anthropic required to destroy all pirated works and improve data transparency.

Judge Alsup's fair use analysis on training turned on the first factor. He held that the purpose of using copyrighted books to train LLMs was "quintessentially transformative", analogising it to human readers who read broadly to become better writers. He noted that LLMs trained upon works "not to race ahead and replicate or supplant them, but to turn a hard corner and create something different." As to market harm (factor four), the court found no evidence that Claude's outputs competed with or displaced the plaintiffs' books.

### 2. Kadrey v. Meta - Key Rulings

- **June 25, 2025 - Summary Judgment (Judge Chhabria):** Training on books (including those from shadow libraries, treated as a unified act) = Fair Use on this factual record. Plaintiffs failed to present evidence of market harm. Case dismissed for these 13 plaintiffs.

Judge Chhabria's reasoning diverged importantly from Judge Alsup's. While agreeing that training was transformative, Chhabria rejected the notion that transformation automatically resolves the fair use question. He identified market dilution as the most important factor, warning that LLMs' capacity to generate "literally millions of secondary works" in a "minuscule fraction of the time" could "often cause plaintiffs to decisively win the fourth factor." He ruled for Meta only because the plaintiffs offered no evidence of such harm, relying on speculation rather than expert analysis. He explicitly stated his ruling "does not stand for the proposition that Meta's use is lawful."



### 3. Thomson Reuters v. ROSS Intelligence - Key Rulings

- **February 11, 2025 - Summary Judgment (Judge Bibas):** Training on Westlaw headnotes = NOT fair use. Over 2,243 headnotes directly infringed. Fair use defense rejected as matter of law. First time a U.S. court rejected fair use in the AI training context.
- **June 2025 - Third Circuit Appeal:** Third Circuit accepts interlocutory appeal (No. 25-8018). Will be the first appellate court to address fair use in AI training. Opening brief filed September 2025.

Judge Bibas found against ROSS on the first and fourth fair use factors. On factor one (purpose and character), the court found ROSS's use was not transformative because it did not create something new but rather sought to replicate the function of Westlaw's editorial content in a directly competing product. On factor four (market effect), the court found ROSS's tool directly targeted and threatened to displace the same market Westlaw served. The intermediate copying doctrine was rejected because Westlaw's headnotes were used "not out of necessity but to make it easier to develop a competing legal research tool."

#### 1.2.7 Broader Implications

##### 1. The Emerging Legal Framework: A Two-Track Approach

The clearest takeaway from the 2025 rulings is that U.S. courts are developing a two-track approach to AI copyright

- **Training itself :** the process of ingesting and learning from copyrighted text - is increasingly treated as potentially or actually transformative, particularly for generative AI systems that produce new content rather than reproducing the original.
- **Outputs and acquisition :** AI-generated outputs that closely reproduce original works, or training data obtained through piracy or from directly competitive sources, are not shielded by the same transformative use reasoning.

##### 2. The Market Harm Factor as the Decisive Battlefield

All three courts converged on factor four: **market harm**, as the most consequential element of the fair use analysis. The 2025 rulings collectively suggest that future plaintiffs who invest in documenting concrete, empirical market harm, through expert economic analysis, licensing market evidence, and evidence of AI output substitution, stand a strong chance of overcoming an AI developer's fair use defense. Judge Chhabria's observation that market dilution "will often cause plaintiffs to decisively win the fourth factor" is a roadmap for future litigation strategy.

##### 3. The Piracy Distinction: A Clear Liability Bright Line

The cases collectively establish that the use of pirated training data is not shielded by fair use, even if the training use itself is transformative. This creates a clear operational imperative for AI developers: the provenance of training data matters enormously, and the cost savings from using pirated datasets are utterly dwarfed by the potential legal exposure. The \$1.5 billion Anthropic settlement, covering fewer than 500,000 works out of the seven million allegedly pirated, illustrates the magnitude of this exposure.

##### 4. The Competitive Substitution Risk: The ROSS Warning

The Thomson Reuters v. ROSS decision provides an important limiting principle: when

an AI system is designed to directly compete with the source of its training data - essentially automating the same function the training data was created to perform - fair use is far less likely to apply. This has significant implications for AI tools built using industry-specific proprietary databases (legal research, financial data, medical records, academic literature), where the AI product and the data source serve the same market.

### **5. The Emerging Licensing Ecosystem**

Perhaps the most consequential long-term effect of these cases is the acceleration of a licensing ecosystem for AI training data. As courts have explicitly noted that a well-documented licensing market would likely defeat a fair use defense, and as the Anthropic settlement has demonstrated the enormous financial exposure of unlicensed use, AI developers are increasingly entering into licensing agreements with book publishers, news organisations, and academic content providers.

### **6. International and Regulatory Dimensions**

These U.S. rulings are being closely watched internationally. The EU AI Act (which entered into force in 2024) includes provisions on transparency of training data, including requirements to publish summaries of training datasets. The UK Intellectual Property Office and Japan's Agency for Cultural Affairs have taken divergent approaches, with Japan's 2023 guidance being notably more permissive of AI training on copyrighted works. The U.S. outcomes will influence whether legislative solutions, such as a statutory licensing regime for AI training data, are pursued internationally.

## **1.2.8 Personal/Analytical Reflection**

The three cases together tell a story that is simultaneously a legal puzzle, an ethical reckoning, and a market-design problem. Their combined significance lies not in any single verdict, but in the framework they collectively begin to assemble for the most consequential intellectual property question of the digital age.

From a legal standpoint, the divergence between Judges Alsup and Chhabria reveals that the fair use doctrine was not designed with this problem in mind. Fair use was developed in an era when "transformative use" referred to human creativity built on prior works: parody, scholarship, commentary, criticism. The doctrine assumes a scale relationship between the infringing use and the market. LLM training breaks this assumption entirely: one training run can ingest millions of works simultaneously, and the resulting model can generate outputs that compete with all of them at once, at essentially zero marginal cost. The Thomson Reuters v. ROSS outcome is, in this author's view, the most principled of the three decisions. When an entity seeks a license, is refused, and then obtains equivalent content through indirect means specifically to build a directly competing product, no reasonable conception of fair use should protect that conduct. Judge Bibas's rejection of the fair use defense reflects a sound application of the doctrine's purpose. The Anthropic settlement deserves careful scrutiny. A company that markets itself on responsible AI development pirated over seven million books and assembled a permanent library of infringing works. The \$1.5 billion settlement covers approximately \$1,000 to \$1,500 per work per author after splitting with publishers, for works that may have contributed to training models generating billions of dollars in revenue. The deeper issue is that copyright law's fair use doctrine is an inadequate tool for resolving a structural market failure. Content creators lack the bargaining power to negotiate licensing terms with the most capitalised technology companies in history. The appropriate policy response is likely a statutory licensing regime for AI training data, akin to the compulsory licensing systems that exist for music

performance and broadcasting, that ensures rights holders are compensated without requiring them to negotiate individually with every AI developer.

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## 2 Who Owns AI Creativity?

The rise of AI tools such as ChatGPT, Gemini, and Grok has transformed how creative content is produced. These systems can now generate movie scripts, novels, and even song lyrics within seconds. While this technological progress is impressive, it also raises an important question: **if AI systems are trained on copyrighted works created by human artists, does their output violate intellectual property rights? I argue that, to a meaningful extent, it does.**

Human creativity is shaped by emotions, cultural influences, and lived experiences that cannot simply be reconstructed from prompts. Consider Howl's Moving Castle by Hayao Miyazaki, The Shining by Stephen King, and There Is a Light That Never Goes Out by The Smiths. These works are deeply personal and culturally significant, shaped by pacifist beliefs, psychological struggles, and emotional vulnerability. A prompt can ask an AI to generate something similar like a whimsical fantasy, an isolated horror narrative, or indie lyrics; but the AI is ultimately assembling fragments of learned stylistic patterns rather than producing genuine originality. The result may sound convincing, but it often feels like an echo of creativity rather than of creativity itself.

This leads directly to the ethical and legal dilemma. AI systems are trained on vast datasets that likely include copyrighted books, films, and music. Even when outputs are not direct copies, they are still influenced by protected works. When users provide prompts, they are essentially triggering a recombination of human creativity without permission, credit, or compensation to the original creators. This raises concerns about fairness and ownership. Human artists spend years developing distinctive voices, yet AI can replicate elements of those voices almost instantly. From my perspective, AI creativity becomes less an act of invention and more an amalgamation of existing human ideas.

The implications for creative industries could be significant. If prompt-based AI generation becomes widespread, markets may become oversaturated with derivative content. This could make it harder for original voices to emerge and potentially devalue human creativity. Over time, creative work may shift from meaningful expression toward rapid content production, prioritizing efficiency over originality. However, I don't view AI purely as a threat. When used responsibly, it can function as a collaborative tool—assisting with brainstorming, editing, or experimentation while preserving human authorship.

To balance innovation with fairness, ethical and legal boundaries should guide AI usage. These may include transparency about AI-generated content, compensation mechanisms for creators whose works contribute to training data, and clearer restrictions on generating content explicitly modeled after specific artists or works. Ultimately, while AI can learn from creativity through prompts and pattern recognition, it cannot truly originate the lived experiences that define meaningful art.